

KCB Group 1H20 Earnings Note

KCB Group's 1H20 net earnings plummeted 40.4% y/y to KES 7.6B below our expectation of a marginal growth of 1.3% y/y driven by a 263.8% y/y surge in loan loss provisions to KES 11.0B. To the disappointment of investors, the Group did not announce payment of an interim dividend as has been the norm.

We maintain our BUY recommendation on KCB Group with a target price of KES 46.17 offering a potential upside of 45.2% on the current price of KES 31.80.

DATE:	**20th Aug 2020**
Target Price:	**KES 46.17**
Current Price:	**KES 31.80**
Upside:	**45.2%**
52 Week Low:	**KES 30.00**
52 Week High:	**KES 55.50**

Loans and advances maintain double-digit growth despite the pandemic

Deviating from our estimates of a 5% y/y growth in loans and advances, the group's loan book grew 17.4% y/y to KES 559.9B. This saw interest income increase 23.2% y/y to KES 41.4B which was further boosted by the 54.5% y/y ballooning of investment in government securities to KES 208.5B as increased liquidity saw banks opt to invest in government paper.

Interest expense driven by strong growth is customer deposits

Customer deposits grew 34.6% y/y to KES 758.2B higher than our expectation of a 5.0% y/y growth which saw interest expenses surge 25.7% y/y to KES 10.3B. Cost of funds however remained stable at 2.7%.

Asset book quality deteriorates, NPL ratio worsens to 13.7%

Deviating from our expectation of an NPL ratio of 11.7%, NPLs escalated 114.5% y/y to KES 83.9B due the prevailing pandemic that has seen a general slowdown in business activity with a total shutdown is some sectors such tourism and hospitality. Fueled by this, loan loss provisions galloped 263.8% y/y to KES 11.0B dimming the bottom line. Cost of risk surged 260 bps y/y to 3.9%.

Cost savings on NBK merger yet to be realized

Operating expenses rose 20.3% y/y to KES 21.2B driven by acquisition of NBK. It is anticipated that synergies from the acquisition will be felt in 2H20 onwards which will also be boosted by continuous improvements in operational efficiencies.

Outlook

The Group's 1H20 performance was below our expectations. While the surge in loan loss provisions was expected we anticipate that exposure to NBK may see NPL ratio worsen going forward. The Group's NPL ratio of 13.7% is above industry average of 13.1%. The counter is trading at p/e and p/b multiples of 6.7x and 0.8x respectively.

Analyst

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Financial Statements

Income Statement	1H19 KESM	1Q20 KES M	2Q20 KES M	1H20 KES M	AIB-AXYS estimates KES M	chg y/y	chg q/q	Deviation
Interest Income	33,603	20,207	21,175	41,382	41,239	23.2%	4.8%	0.3%
Interest Expense	8,201	5,153	5,160	10,313	9,790	25.7%	0.1%	5.3%
Net Interest Income	25,402	15,054	16,016	31,070	31,449	22.3%	6.4%	-1.2%
Non Interest Income	13,172	7,897	6,067	13,964	13,605	6.0%	-23.2%	2.6%
Total Operating Income	38,574	22,951	22,082	45,033	45,054	16.7%	-3.8%	0.0%
Total Operating Expenses	17,610	11,131	10,050	21,181	27,849	20.3%	-9.7%	-23.9%
Loan Loss Provision Expense	3,031	2,898	8,129	11,027	6,759	263.8%	180.5%	63.2%
Operating Profit	20,964	11,820	12,032	23,852	17,205	13.8%	1.8%	38.6%
Profit Before Tax	17,933	8,922	3,903	12,825	17,205	-28.5%	-56.3%	-25.5%
Current Tax	5,210	2,660	2,587	5,247	4,301	0.7%	-2.7%	22.0%
Profit After Tax	**12,723**	**6,262**	**1,316**	**7,578**	**12,904**	**-40.4%**	**-79.0%**	**-41.3%**
EPS (KES)	7.57	7.79	0.39	4.72	3.84	-37.7%	-95.0%	22.9%
DPS (KES)	1.00					-100.0%		

Balance Sheet								
Total Shareholders' Equity	117,524	135,546	132,139	132,139	129,276	12.4%	-2.5%	2.2%
Customer Deposits	563,236	740,444	758,241	758,241	591,398	34.6%	2.4%	28.2%
Total Liabilities	628,995	811,522	820,933	820,933	677,428	30.5%	1.2%	21.2%
Total Equity and Liabilities	746,519	947,068	953,072	953,072	807,734	27.7%	0.6%	18.0%
Government and Other Securities	135,007	203,661	208,523	208,523	188,874	54.5%	2.4%	10.4%
Net Loans and Advances	478,731	553,861	559,884	559,884	502,667	17.0%	1.1%	11.4%
Fixed Assets	13,552	20,684	20,239	20,239	15,368	49.3%	-2.2%	31.7%
Total Assets	746,519	947,068	953,072	953,072	807,734	27.7%	0.6%	18.0%

Key Ratios								
Gross NPL (KES M)	39,111	66,201	83,884	83,884	59,315	114.5%	26.7%	41.4%
NPL Ratio	7.8%	7.8%	13.7%	13.7%	11.8%			
Cost of risk	1.3%	2.1%	5.8%	3.9%	2.7%			
Loan to Deposits	85.0%	74.8%	73.8%	73.8%	85.0%			
Yield on Interest Earning Assets	10.7%	10.7%	11.0%	10.8%	10.9%			
Cost of Funds	2.8%	2.8%	2.7%	2.7%	2.7%			
NIM	7.8%	7.9%	8.3%	8.1%	8.2%			
Non Funded/Total Income	34.1%	34.4%	27.5%	31.0%	30.2%			
Cost to Income Ratio	45.7%	48.5%	45.5%	47.0%	46.8%			
ROE	21.7%	18.5%	4.0%	11.5%	20.0%			
ROA	3.4%	2.6%	0.6%	1.6%	3.2%			
Core Capital/TRWA	18.6%	17.1%	17.9%	17.9%				
Total Capital/TRWA	20.1%	19.0%	19.5%	19.5%				
Liquidity Ratio	34.9%	40.1%	40.0%	40.0%				
P/E (x)				**6.7**	**6.0**			
P/B (x)				**0.8**	**1.2**			

Source: AIB-AXYS Research, company fillings

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Investment ratings

- **BUY:** Issued on counters with strong fundamentals whose upside lies between 10.0% and 20.0%.
- **HOLD:** Issued on counters with an upside of between 1% and 10.0%
- **SELL:** The counter currently has weak fundamentals coupled with potential downside.

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